The OpenAI Story, Simply

The same story as doc 33, taught properly this time. One idea at a time, with everyday comparisons, ending with a chain of reasoning you can say out loud.

Doc 34 · Replaces the core of doc 33 · Goldman Sachs Asset Management, Client Solutions Group · 4 November 2026

Doc 33 was written as a reference document and you needed a teaching one. My fault. Read this instead. Keep doc 33 only for the glossary in Part 2 and the follow-up questions in Part 8.

1 What this article actually is, in one sentence

A company that is not on the stock market tried to sell a piece of itself. While it was asking, the stock market fell. So the price it could get fell too — **even though nothing about the company changed.**

That is the whole story. Everything else is explaining *why* a fall in the stock market should change the price of a company that is not on the stock market. Those two things sound unconnected. The interview question is really asking: can you explain why they are connected?

The numbers, so you have them:

- A month ago OpenAI wanted **$30 billion** and said the whole company was worth **$1.4 trillion**.
- Now it wants **$20 billion** and says the company is worth **$1.25 trillion**.
- So the price tag came down about **11%** in roughly a month.

2 The one thing you must understand first: how do you price something that has no price?

This is the foundation. Get this and the rest is easy.

A share in Apple has a price. You can look it up right now. Thousands of people are buying and selling it every second, and the price is whatever they agree on. Nobody has to *decide* what Apple is worth — the market decides, continuously.

OpenAI is not on the stock market. **There is no price.** Nobody is buying and selling it every second. So when OpenAI wants to sell a piece of itself, somebody has to sit in a room and *decide* what the whole company is worth. That decision is the "valuation."

THINK OF IT LIKE THIS

A house that has never been sold has no price. So how does an estate agent value it? They look at the houses that *did* sell on the same street. Three bedrooms, same size, sold for £400,000 last month. So this one is worth roughly £400,000.

The house itself has nothing to do with it. Nobody measured it again. The value comes from **what similar things are selling for**.

This is exactly how private companies are valued. You look at similar companies that *are* on the stock market, see what they are worth relative to their revenue, and apply the same ratio.

SO HERE IS LINK 1, AND IT IS THE MAIN ONE

Listed technology and AI companies fell hard in late October. The Nasdaq 100 — the index that tracks the big technology companies — dropped more than 10% from its October peak. (Reported 2 November 2026; re-check before you record.)

The houses on the street just sold for less. So the house that has never been sold is worth less too. Nobody touched OpenAI. The yardstick shrank.

3 The other three links, each in one idea

Link 1 was the comparison. Here are the other three. Each one is a separate, independent reason the price came down, and they all pushed the same way at the same time. That is why the fall was sharp.

LINK 2

The buyers are the same people

Who buys a stake in OpenAI? Large investment funds. Those same funds also own Nvidia, Microsoft and Amazon shares.

So when tech shares fall, those funds get hit twice over. They have less money than they did. And the person they report to has just become a lot more nervous about anything with "AI" in the description.

So they write a smaller cheque. The article says this in plain language: *"investors lowered their allocations."* That sentence **is** link 2 happening.

> THINK OF IT LIKE THIS
>
> You were going to bid £500,000 on a house. Then your own house dropped in value and your partner got nervous. You still want the house. You bid £450,000.

LINK 3

You are buying it to sell it later

Nobody buys a stake in a private company to hold forever. They buy it expecting to sell it in a few years, usually when the company floats on the stock market.

So the price you pay *today* depends entirely on what you think you can sell for *tomorrow*.

If floating on the stock market now looks harder, or looks like it would fetch a lower price, then your expected sale price just dropped. So the most you are willing to pay today drops with it.

> THINK OF IT LIKE THIS
>
> You buy flats to do up and sell on. If everyone starts saying house prices will fall next year, you do not pay today's price. You pay less, because your exit just got worse.

LINK 4

There is about to be an easier way to buy the same thing

Anthropic, a direct competitor, is about to list on the stock market — within weeks. (Reported; confirm the status before you record.)

Once it lists, anyone who wants to own a piece of the AI story can simply buy its shares. Click a button. Sell them again whenever they like.

Compare that to buying into OpenAI privately: your money is locked up for years, you cannot sell when you want, and you get far less information about the company.

So why would you pay full price for the locked-up version when the easy version is about to exist? You would not. You would demand a discount. The existence of the alternative pushes the private price down all by itself.

> THINK OF IT LIKE THIS
>
> Two identical flats, same street, same price. One you can sell any time you like. The other you are legally locked into for five years. Nobody pays the same for both. The locked one has to be cheaper.

HOW TO HOLD ALL FOUR IN YOUR HEAD

The yardstick shrank. The buyers got poorer and more nervous. The exit got worse. And an easier substitute appeared.

Four separate pressures, all pushing the price the same way, all at once. If you can say that sentence, you have the mechanism.

4 Public and private markets: the one difference that matters

You said Goldman invests in both, and you are right. So let me explain the actual difference, because it is simpler than people make it and it is where your best point comes from.

	PUBLIC markets	PRIVATE markets
What it means	Shares and bonds listed on an exchange. Apple, Shell, government bonds.	Companies, loans and property that are not listed. Private equity, private credit, infrastructure.
How the price is set	By a market, continuously. Thousands of buyers and sellers.	By an estimate, a few times a year. Someone sits down and works out a number.
How often it changes	Every second.	Every three months, roughly. And the estimate is often weeks out of date when it arrives.
Can you sell today?	Yes, in seconds.	No. Often locked up for years.

> The difference that produces every interesting effect: **public prices move immediately. Private prices move late.**

Not "private prices move less." They move *later*. Eventually a private valuation catches up with reality — but months after the public market already got there.

So what has this article done to each one?

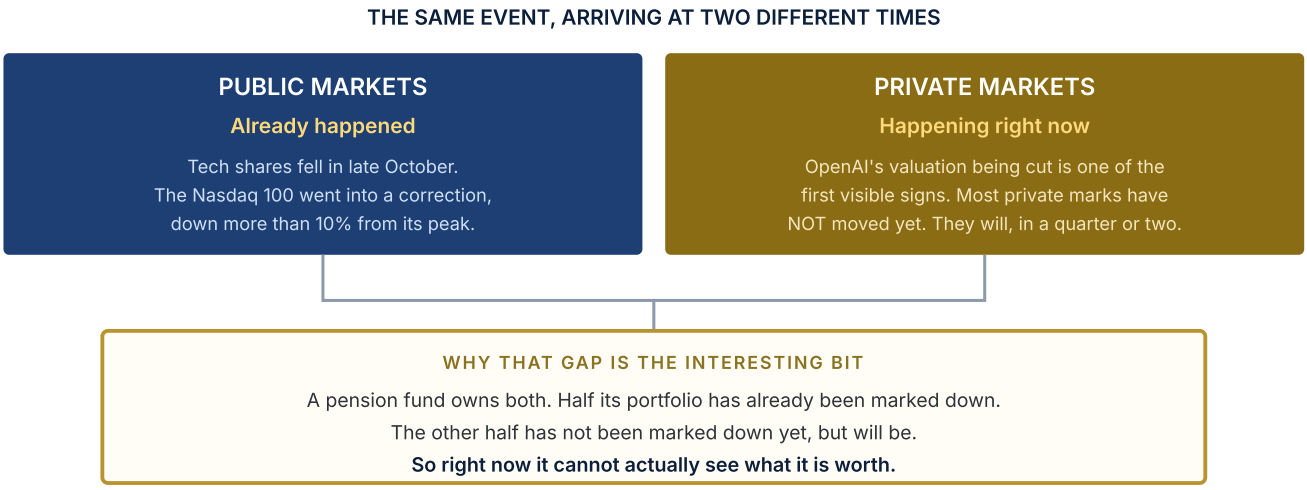


Figure 1 — The timing gap. This is the single most useful idea in the document.

5 Why Goldman cares — it is on both sides

Goldman manages $4.1 trillion for clients. Split it up and you can see immediately why this story reaches the firm.

(All from Goldman's 10-Q, 30 September 2026.)

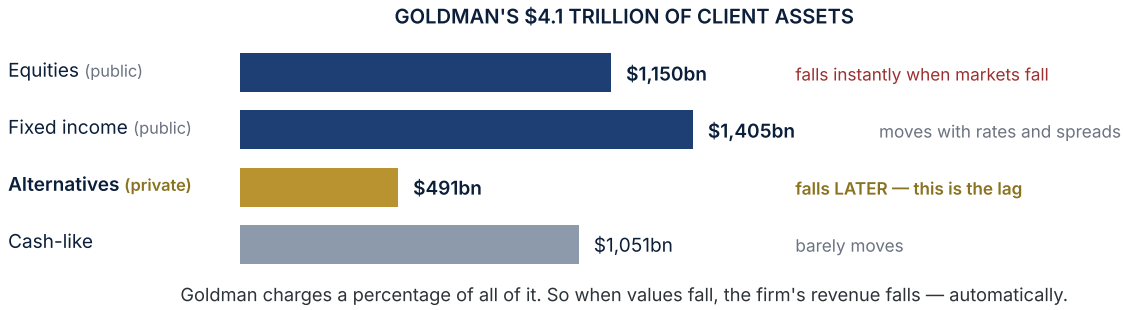


Figure 2 — Goldman holds both halves, so it feels this story twice, at two different times.

Two things follow, and they are both simple:

1. **The public half already cost the firm money.** Goldman charges a percentage of what it manages. If equity holdings fall in value, the fee on them falls straight away. No decision required by anyone.
2. **The private half has not yet.** Alternatives were $491 billion and grew 26% in a year. Those valuations have not been marked down. If private AI marks come down over the next couple of quarters, the fee effect arrives then — with a delay.

> AND HERE IS THE BIT ALMOST NOBODY SAYS
>
> That delay is actually **useful** for the firm. Fee income on private assets is far steadier through a stock market wobble than fee income on listed shares, because the value does not reprice every day. It is one real reason Goldman wants a bigger share of its business in alternatives — not just the higher fee, but the *steadier* fee.

6 Why your team cares — the client's actual problem

Now the bit that matters for the interview. Client Solutions Group serves pension funds, insurers and sovereign wealth funds. Here is what this story does to them, in three steps.

STEP 1

One of your client types is literally in this deal

The article says the largest participant in the round is expected to be a group from the UAE including MGX, which is a state-backed fund. **That is a sovereign wealth fund** — one of the five client types this division serves. So this is not a story about tech companies and venture capitalists. Institutional money is writing the cheque. You do not have to stretch to make this relevant; the article hands it to you.

STEP 2

Clients cannot currently see what they own

A pension fund holds listed shares *and* private funds. The listed half has already dropped. The private half is still carried at its old value because nobody has revalued it yet.

So today, its stated total is wrong, and it knows it is wrong, and it does not know by how much. It also creates a strange arithmetic problem:

> **A WORKED EXAMPLE WITH ROUND NUMBERS**
>
> A pension fund has **£10bn**, of which **£2bn** is in private funds. That is 20% in private — which is also its maximum allowed.
>
> Now listed shares fall 20%. The private £2bn has not been revalued, so it is still £2bn. The total is now about **£8.4bn**.
>
> Private is now **£2bn out of £8.4bn ≈ 24%**.
>
> **The fund is over its limit, and it did absolutely nothing.** The private number never moved — the total shrank underneath it. It may now be forced to stop making new private investments, or even to sell some at a discount.

This is called the **denominator effect**, and the name just means: the bottom of the fraction got smaller. That is all.

STEP 3

The risk is quietly moving toward your clients

This is the strongest point you have, and it follows logically from everything above.

1. Building AI data centres costs an enormous amount, and the contracts are already signed. **The spending does not stop because share prices fell.**
2. If raising money by selling shares has got harder and more expensive — which is exactly what this article shows — then the money has to come from somewhere else.
3. It comes from borrowing. Morgan Stanley's estimate is that private credit could fund more than half of a roughly $1.5 trillion data-centre buildout. (Re-verify.)
4. **And who funds private credit? Pension schemes, insurers and sovereign funds.** Your clients.

So as equity funding tightens, more of the AI risk ends up in your clients' portfolios — and it arrives labelled as *investment-grade credit*, not as a bet on AI. A trustee who deliberately capped technology in their share portfolio can end up holding the same risk again, in a different box, without seeing it.

7 The whole chain of reasoning, on one page

This is what to memorise. Nine dominoes. If you can say these out loud in order, you can answer the question and survive any follow-up.



Figure 3 — The nine dominoes. Blue is public markets, gold is private markets, dark gold is the borrowing channel.

> **IF YOU REMEMBER NOTHING ELSE, REMEMBER THIS SHAPE**
>
> **Earnings → doubt → public shares fall → private prices follow → clients hold both, at different speeds → the spending continues anyway → so it gets funded by debt → and the debt sits with your clients.**

8 Say it out loud: the simple version

This is shorter and plainer than the one in doc 33. About 100 seconds. **Learn the four beats, not the words.**

BEAT 1 — OPEN, ABOUT 15 SECONDS

Thanks for taking the time to watch this. The story I have been following is OpenAI cutting its fundraising, from thirty billion dollars at a one point four trillion valuation down to about twenty billion at one point two five trillion, in roughly a month. What I find interesting is that nothing about the company changed in that month. So what actually repriced was the cost of raising money, and I want to talk about where that ends up, because a lot of it ends up with institutional investors.

BEAT 2 — EXPLAIN IT SIMPLY, ABOUT 30 SECONDS

The reason a stock market fall changes the price of a company that is not on the stock market is that private companies get valued by comparison. There is no market price, so you look at similar listed companies and apply the same multiple. Listed tech fell hard in late October and the Nasdaq went into a correction, so the yardstick shrank. On top of that, the funds buying into OpenAI own listed tech as well, so they had less money and more nervous bosses, which is why the reporting says investors lowered their allocations. And Anthropic is listing within weeks, which gives those same investors a way to own the theme that they can actually sell. Three pressures, all pushing the same way.

BEAT 3 — THE LINK TO CLIENTS, ABOUT 30 SECONDS

What makes it relevant here is that institutional investors are on both sides of it. The biggest buyer in the round is expected to be a sovereign wealth vehicle, so this is institutional money, not just venture capital. And there is a timing problem underneath it, which I think is the more interesting part. Public holdings reprice immediately and private holdings reprice months later, so a pension fund that owns both can genuinely not see what its portfolio is worth today. The listed half has already fallen and the private half has not been revalued yet.

BEAT 4 — YOUR VIEW AND YOUR TEST, ABOUT 25 SECONDS

My own view is that this is being read as a story about AI sentiment, and it is more useful as a story about the cost of capital. The spending commitments on data centres do not pause because share prices fell, so if equity is more expensive, more of it has to be funded by borrowing instead, and that borrowing is largely funded by pension schemes and insurers. So the risk quietly migrates toward exactly the clients this division serves. What would tell me I am wrong is the Anthropic listing. If it prices strongly, this was a wobble and the capital comes back. If it does not, the repricing is real and it shows up in credit next.

The two sentences that do the heavy lifting

If you only land two sentences properly, make them these:

1. *"Nothing about the company changed in that month, so what actually repriced was the cost of raising money."* — This is the sentence that turns a news summary into analysis, and it arrives at about second twelve.
2. *"The spending commitments do not pause because share prices fell, so if equity is more expensive it has to be funded by borrowing instead."* — This is the sentence that shows you worked out a consequence nobody told you.

9 If you forget everything on the day

Nerves happen. Here is the emergency version. Four sentences, and it still scores well above average:

> "OpenAI cut its fundraising by about ten billion dollars after tech shares fell. The reason a public sell-off moves a private company's price is that private companies are valued by comparing them to listed ones, so when the comparison falls, so do they. What I find interesting is the timing: public holdings reprice instantly, private ones take months, so an institutional investor holding both genuinely cannot see what their portfolio is worth right now. And because the spending on data centres carries on regardless, more of it gets funded by debt — which is funded by pension funds and insurers."

That is roughly 45 seconds and it contains the mechanism, the public-private distinction and the client link. Everything else is decoration on top of it.

Before you record

- **Re-check three things:** where the Nasdaq is now, whether Anthropic has actually listed and at what price, and whether OpenAI's round has closed and at what number. All three can change this week and a stale figure said confidently is the one mistake you cannot recover from.
- **Attribute the numbers you did not verify yourself.** "The FT reported", "Morgan Stanley's estimate is". It costs a second and it protects you.
- **Test yourself properly:** close this document and draw the nine dominoes from memory. If you can, you own it. If you cannot, read Part 7 again, not the whole document.
- **Then film it twelve times,** changing the words each time while keeping the four beats fixed. That is what makes it sound like you instead of like a document.

Sourcing. The OpenAI figures, the MGX participation and the Anthropic listing come from the FT article dated 31 October 2026 that you sent me. The Nasdaq correction, the Morgan Stanley estimate and the Anthropic filing details come from my research on 4 November 2026, from secondary reporting I could not check against primary sources — re-verify these. Goldman's asset figures are from its Form 10-Q for the period ended 30 September 2026, which I read directly. The denominator effect example uses round numbers I chose to make the arithmetic clear. I am made by Anthropic, which appears in this story; I have no non-public information about its listing.